

Multiple Choice

1. **Answer:** A

Options: A) result in higher domestic prices.; B) promote trade between nations.; C) do not necessarily affect domestic prices.; D) affect domestic prices: the former raises them while the latter lowers them.

Note: Correct option: A - result in higher domestic prices.

2. **Answer:** A

Options: A) divide nominal GDP by the GDP deflator.; B) multiply real GDP by the GDP deflator.; C) divide real GDP by the GDP deflator.; D) multiply nominal GDP by the GDP deflator.

Note: Correct option: A - divide nominal GDP by the GDP deflator.

3. **Answer:** A

Options: A) eliminate a recessionary gap; B) reduce inflation; C) reduce the interest rate; D) eliminate an inflationary gap

Note: Correct option: A - eliminate a recessionary gap

4. **Answer:** A

Options: A) Diminishing marginal productivity.; B) Diminishing marginal utility.; C) Increasing marginal utility.; D) Increasing marginal productivity.

Note: Correct option: A - Diminishing marginal productivity.

5. **Answer:** C

Options: A) NDP will be greater than GDP.; B) NI will be greater than GDP.; C) PI will be greater than NI.; D) DPI will be greater than PI.

Note: Correct option: C - PI will be greater than NI.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'the investment demand curve is elastic'.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'there is no cyclical unemployment.'

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Depreciation in the international value of the dollar'.

10. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'the marginal revenue curve is below the demand curve for a monopoly'.

Long Form Response

11. **Answer:** Excess capacity.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** Net exports and GDP both fall.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.